SERIES B TERM SHEET — DRAFT

Draft economics

This unsigned draft is subject to revision.

Closing, Conditions, and General Terms

Term Sheet Series B v3 DRAFT addresses closing deliverables, required corporate and class approvals, definitive-document preparation, expenses, confidentiality, exclusivity, governing law, counterpart execution, and expiration.

Draft, redline, competing, exhibit, and executed materials retain distinct status; only the properly signed instrument governs according to the review protocol.

No illustrative capitalization schedule changes an operative provision in the document body without the approvals and amendment process stated there.

Draft status and how to read this circulation

This is the third circulated draft of the proposed Series B financing terms for Helioscope Robotics, Inc.. It is distributed for discussion purposes only, it has not been signed by any party, and nothing in it is intended to create an obligation of any kind. Figures, periods and bracketed alternatives carried here are those under discussion as at the circulation date and are subject to change in any later turn.

Drafting notes appear in the body of each Part rather than in the margin, so that a reader working from a printed copy sees the note alongside the term it concerns. Where the parties have not settled a value, this draft says so in words rather than carrying a placeholder figure that a later reader might mistake for a position someone has actually taken.

Annex I lists every item that remains open, the Part it affects, the position each side has taken and the status of the discussion. The Annex is the working record of the negotiation and is updated with each turn; where the Annex and the body differ, the body reflects the more recent drafting and the Annex is to be conformed.

Part 1 - Parties and the shape of the proposed investment

The proposed lead purchaser is Ardent Peak Ventures III, L.P.. Investor counsel has asked that the remaining purchasers be identified on a schedule to the purchase agreement rather than in this draft, so that the allocation among funds can be settled without a further turn of this document. The Company has not objected to that approach.

The security under discussion is a new series of preferred stock to be designated Series B Preferred Stock. The Company has asked whether the series could instead be designated as an extension of the existing Series A, which would avoid a fresh designation; investor counsel has reserved on that question pending review of the Series A charter provisions and the consents an extension would require.

Whether a second institutional lead would be admitted has been discussed but not agreed. The Company would prefer a second lead so that governance rights sit with two holders rather than one; the lead purchaser has said it will consider the point once the pricing terms are settled.

Part 2 - Pricing, aggregate investment and the proposed second tranche

The pre-money valuation and the aggregate investment under discussion are those stated in the pricing block of this draft. Both are open. The lead purchaser has reserved on the valuation until it has completed customer reference calls, and has said its view will turn on the renewal history of the two largest distribution accounts.

This draft contemplates funding in two tranches at a single price per share, with the second tranche conditioned on an operating metric. The Company has proposed that the metric be recurring revenue excluding installation and field service, measured on the later of the two dates discussed; investor counsel has responded that the metric should come from the audited financial statements without exclusions, and has marked the test date for discussion.

The Company has asked that a shortfall against the metric reduce the second tranche proportionally rather than release the purchasers altogether. That request is open. The lead purchaser has indicated it would consider a partial funding construction only if the metric definition is settled on its terms.

Part 3 - Capitalization and the proposed incentive reserve

Pricing in this draft is computed on a fully diluted pre-money basis. The components of that number are listed in the capitalization block and are not disputed in principle, although the treatment of the penny warrant issued to the senior lender is marked for discussion because the two sides have used different conventions for it in their respective models.

The reserve increase for the equity incentive plan is expressed here as a percentage of the post-financing fully diluted capitalization. The percentage carried in this draft is the Company's proposal and is open; the lead purchaser has said it will revert with its own figure once it has reviewed the twelve-month hiring plan and the outstanding offer letters.

The basis on which the reserve is sized is marked [to be confirmed]. The Company has assumed the capitalization as it will stand at the first closing. The lead purchaser has stated no position, and investor counsel has noted that the candidate bases produce materially different reserve sizes, so the basis should be stated expressly rather than left to whichever model a reader happens to open.

The Company has also asked whether unissued reserved shares alone count toward the target or whether outstanding awards count as well. Investor counsel has said the convention it applies counts only unissued reserved shares, and has marked the point agreed in principle subject to confirmation by the lead purchaser.

Part 4 - Dividends

The Company's position is a simple, non-cumulative dividend payable only when declared by the Board of Directors, on the ground that a cumulative dividend complicates the waterfall and has no cash effect before an exit. Investor counsel has reserved on that position and says its client requires a cumulative dividend that compounds and that is added to the liquidation entitlement.

If a cumulative dividend is agreed, the parties will need to settle the compounding convention and the day count convention for a stub period. Neither has been discussed. Investor counsel has flagged that the convention belongs in the charter rather than in a modelling conventions memorandum, because the charter is the instrument a later purchaser will read.

Part 5 - Liquidation preference and participation

This draft proposes a non-participating liquidation preference with a conversion election, so that a holder receives the greater of its preference amount and what it would receive on conversion to common stock. The Company regards the non-participating construction as the market position for a company at this stage and has resisted participation in each of the three turns to date.

Investor counsel has reserved on this Part and states that its client requires participation subject to a cap. If participation is agreed, a cap will be inserted here and the interaction between the cap and the conversion election will have to be drafted; this draft contains no cap because on the Company's construction there is nothing to cap.

Ranking against the existing series is dealt with in Part 8 rather than here, because the consent required for a senior designation is a consent question before it is an economics question. The treatment of escrowed or held-back consideration on a deemed liquidation is [open] and neither side has tabled language for it.

Part 6 - Conversion and anti-dilution

Optional conversion at the holder's election, automatic conversion on a qualifying public offering, and automatic conversion on the election of the requisite holders are proposed in conventional form and are not in dispute. The thresholds that would make an offering qualifying are carried as the Company proposed them and have not been commented on.

For anti-dilution this draft proposes a broad-based weighted average adjustment applying from the original issue date and continuing for the life of the series, with no separate treatment for any initial period. The Company says a formulation that varies over time is unnecessarily complex and hard to administer through a later financing.

Investor counsel has reserved on the formulation and will revert with its client's in the next turn. It has asked the Company to conform the excluded issuances list to the corresponding list in the Series A charter, which the Company has agreed to in principle subject to investor counsel's review of that charter.

Part 7 - Redemption

This draft carries a redemption right exercisable at the election of the requisite holders of the new series after the period stated in this Part and at the amount stated in this Part. Both the period and the amount are the lead purchaser's proposal, carried forward from the second circulated draft without change.

The Company objects in principle. Its position, recorded in Annex I, is that a redemption right is inconsistent with the equity risk the purchasers are taking and that it will complicate a later debt facility because a lender will treat the right as a contingent obligation. The Company has asked that the Part be deleted in its entirety.

Investor counsel has declined to delete the Part and has offered, without prejudice, to narrow it so the right is exercisable only if no qualifying public offering or sale of the Company has occurred by the stated date. That offer is open and the Company has not responded to it.

Transaction record 1

$128,000,000

The v3 DRAFT term sheet prices the round at a pre-money the parties later moved off of; v5 EXECUTED governs.

The reviewer should reconcile this record with the applicable source-of-record instrument and effective-date hierarchy before downstream use.

Part 8 - Voting and protective provisions

The new series would vote with the common stock on an as-converted basis, which is not in dispute. The basis on which the protective provisions operate is: the Company proposes a vote of the preferred stock as a whole, investor counsel requires a separate vote of the new series voting as its own class, and investor counsel has said the separate class vote is not negotiable for its client.

The protective provision list carried here is the lead purchaser's list. Two items are bracketed [open]: approval of the annual operating budget, and approval of the hiring or termination of a senior executive reporting to the Chief Executive Officer. The Company objects to both on the ground that they convert a negative control into day-to-day management involvement.

The indebtedness threshold above which incurrence requires consent is carried in this Part and is open; the Company has asked for a higher threshold so its existing equipment financing lines are not caught. The consent needed to create a series senior to the existing preferred is treated as a condition in Part 18, where the Company maintains that an earlier waiver suffices and investor counsel requires a fresh consent.

Part 9 - Board composition

This draft allocates designation rights by class and does not state the authorized size of the board, which the Company has asked be left to the bylaws and the voting agreement. Investor counsel has accepted that approach and marked the Part resolved subject to documentation, on the basis that the designation rights themselves are agreed.

The identity of the independent director remains open. The Company has proposed a candidate who chairs the audit committee of another robotics company; the lead purchaser would prefer a mutually agreed candidate identified after the closing and has asked that the seat be left vacant in the meantime rather than filled on an interim basis.

The strategic investor has asked for an observer with the right to receive board materials. Neither side objects in principle, and the drafting note here records that the observer's confidentiality undertaking and its exclusion from privileged matters will be dealt with in the investors' rights agreement rather than in this document.

Part 10 - Drag-along

The construction carried here would be triggered by approval of the board of directors together with the requisite holders of the preferred stock and the requisite holders of the common stock. The Company regards the common stock approval as essential and says it will not agree a construction under which a single new series can force a sale.

Investor counsel requires that the requisite holders of the new series be able to trigger the obligation alone, and the point is recorded open in Annex I. It has offered, in exchange, to accept the conditions the Company tabled on the liability a dragged holder can bear, which the Company drafted from the corresponding provision of its Series A voting agreement.

Those conditions would limit a dragged holder's representations to title, authority and organization, make liability several rather than joint, cap it at the proceeds actually received, and exclude any restrictive covenant on a holder who is not an employee. They are agreed in principle and are not marked open.

Part 11 - Information, inspection and observer rights

The information rights carried here run to holders above a share threshold stated in the definitions block. The Company has asked that the threshold be raised so the reporting burden falls on fewer holders; the lead purchaser has said the threshold is a matter for the investors' rights agreement and has not engaged with the request in this draft.

The Company has asked for a carve-out permitting it to withhold monthly management accounts from a holder that competes with it, and for a trade secret and privilege carve-out on inspection. Investor counsel accepts both in principle and has asked that the definition of competitor be negotiated in the definitive documents rather than settled here.

Part 12 - Registration rights

Demand, piggyback and short-form registration rights are proposed on the terms summarized in this Part, with the detail left to the investors' rights agreement. Neither side has commented on this Part in the last two turns and it is carried forward from the second circulated draft unchanged.

Investor counsel has flagged one point for the definitive documents: the cutback priority as summarized does not say what becomes of shares a holder cannot include because it has declined to sign the underwriting agreement. The point is noted rather than resolved and does not affect the summary carried in this Part.

Part 13 - Pro rata rights and pay-to-play

Each holder above the stated threshold would have the right to participate in a subsequent issuance up to its pro rata share, with the excluded issuance categories left to the investors' rights agreement. The Company has asked that the right terminate on a qualifying public offering, which investor counsel has accepted.

The pay-to-play construction is open. The Company prefers a test applied to the series as a whole, so the consequence follows only if the series in aggregate fails to take up its share. Investor counsel prefers a test applied holder by holder, so a holder that does not participate suffers the consequence regardless of what other holders do; the difference is recorded in Annex I.

The consequence of a failure to participate is carried here as conversion into a shadow series with reduced rights. The rights the shadow series would lack are listed in the definitions block and are not disputed; only the level at which the test is applied remains open.

Part 14 - Right of first refusal and co-sale

Transfers by the founders and the early exercisers would be subject to a company right of first refusal, a secondary refusal right for the investors and a co-sale right, with the mechanics left to the definitive agreement. This Part is carried forward from the second draft with one change: the request for a founder secondary sale at the closing has been withdrawn and the corresponding paragraph removed.

The Company has asked that a transfer to a trust for estate planning purposes be exempt without board approval, and that a transfer of a small number of shares be exempt on administrative approval. Investor counsel has accepted the first request and has asked that the second be subject to approval by the board including the preferred designees.

Part 15 - Founder vesting, acceleration and key-person undertakings

This draft would re-vest the founders' shares over the period stated in this Part with credit for prior service, so that the portion of each holding corresponding to service already performed would be treated as vested at the closing. The Company regards the credit as essential and says the founders will not agree a re-vesting without it.

Investor counsel has marked the credit for prior service for deletion and has reserved on the Part as a whole. Its position, recorded in Annex I, is that the purpose of re-vesting is to align the founders with the new capital and that credit for service performed before the investment defeats that purpose.

Acceleration on a change of control is open. The Company proposes a single trigger for the three founders, so vesting accelerates on the change of control itself. Investor counsel will accept only a double trigger requiring a qualifying termination within a window after the change of control, and says a single trigger will be treated as a diligence issue by any later acquirer.

The Company objects to the non-compete undertaking on enforceability grounds in its home jurisdiction and has asked that it be replaced with a non-solicitation undertaking. Investor counsel will consider the substitution if the non-solicitation undertaking covers customers as well as employees.

Part 16 - Insurance, expenses and the break arrangement

Directors' and officers' liability insurance would be maintained with a carrier and at a level approved by the board including the preferred designees. The Company has asked that the approval requirement attach to the initial policy rather than to each renewal; the point is not marked open only because investor counsel has not yet responded to it.

The expense arrangement is open. The Company wants the fees of investor counsel capped and payable only on a completed financing. The lead purchaser wants the arrangement uncapped and payable whether or not the financing completes, and has reinstated in this draft the break arrangement the Company struck in the second circulated draft.

The Company's position on the break arrangement is that it is inconsistent with a non-binding statement of terms and that, if any amount is to be paid, it should be payable only where the Company terminates in order to accept a competing proposal. That formulation has been tabled but not accepted.

Part 17 - Exclusivity

The exclusivity period is left blank pending agreement, and this draft records the fact rather than carrying a placeholder period. The lead purchaser has said the period it requires depends on how quickly the Company can deliver the capitalization reconciliation and the customer contracts to the data room.

The Company has asked for the shortest period the parties have discussed, for a right to terminate exclusivity if the purchasers do not deliver a first draft of the purchase agreement within a stated time, and for a carve-out permitting it to continue discussions with an existing holder about the consents this financing requires. The carve-out is agreed in principle; the termination right is open.

Part 18 - Conditions to a closing as presently contemplated

The conditions contemplated are execution of definitive documents, filing of a restated charter, receipt of the corporate approvals the financing requires including each class consent, delivery of a legal opinion, conversion of the outstanding convertible instruments, and the absence of a material adverse change. The list is indicative and will be settled in the purchase agreement.

Two items are contested. The Company maintains that the consent it needs from the holders of the existing senior series has already been given by a waiver granted in connection with an earlier matter; investor counsel requires a consent obtained specifically for this financing. The scope of the legal opinion is also open, the Company asking for a narrower scope than investor counsel has proposed.

The Company has asked that the capitalization reconciliation be a covenant rather than a condition, so that an unreconciled item in the equity award ledger does not prevent a closing. Investor counsel will consider that request when it has seen the current state of the ledger.

Transaction record 2

12.0%

The v3 DRAFT term sheet sizes the option pool at a percentage the parties later moved off of; v5 EXECUTED governs.

The reviewer should reconcile this record with the applicable source-of-record instrument and effective-date hierarchy before downstream use.

Part 19 - Process, next steps and the status of this draft

Investor counsel will prepare first drafts of the purchase agreement, the restated charter and the three stockholder agreements once the items marked open in Annex I have been narrowed. The Company will prepare the disclosure schedules and the capitalization certificate. Management rights letters will be provided to each fund that requests one, which the parties have agreed in principle.

This draft supersedes the second circulated draft for comment purposes only. It creates no binding obligation: no exclusivity, no obligation to pay any fee or expense, and no obligation to continue discussions. Comments should be returned to investor counsel, and the distribution list is limited to the parties named in the circulation note.

This draft lapses for comment purposes if the parties have not exchanged a further turn within a reasonable period of the circulation date, in which case investor counsel will recirculate a clean version reflecting the state of the discussion rather than continue to mark up this one. Annex I follows.

Annex I - Open items and drafting notes as at the third circulated draft

Item	Part affected	Company position	Investor position	Status
Pre-money valuation	Part 2	Holds at the figure carried in this draft	Reserved pending customer reference calls	open
Reserve percentage for the incentive plan	Part 3	Prefers the lower figure in this draft	Will revisit after reviewing the hiring plan	open
Basis on which the reserve is sized	Part 3	Capitalization as at the first closing	No position stated	to be confirmed
Second tranche metric definition	Part 2	Recurring revenue excluding field service	Metric taken from audited statements	open
Second tranche test date	Part 2	Prefers the later of the dates discussed	Date marked for discussion	open
Participation in the preference	Part 5	Non-participating with a conversion election	Participation subject to a cap	reserved by investor counsel
Cap on participation	Part 5	Not applicable if non-participating	Cap to be inserted if participation is agreed	open
Dividend rate and compounding	Part 4	Simple and non-cumulative	Cumulative and compounding	reserved by investor counsel
Anti-dilution formulation	Part 6	Broad-based weighted average throughout	Will revert with a formulation	open
Excluded issuances list	Part 6	Conform to the Series A charter	Accepts subject to reviewing that charter	agreed in principle
Redemption right	Part 7	Objects to any redemption right	Requires a right at holder election	open
Protective provision over the annual budget	Part 8	Objects as management involvement	Requires the provision	open
Protective provision over senior executive hires	Part 8	Objects as management involvement	Requires the provision	open
Indebtedness threshold in the protective provisions	Part 8	Higher threshold to clear equipment lines	Threshold as carried in this draft	open
Class or series basis for protective votes	Part 8	Vote of the preferred as a whole	Separate vote of the new series	reserved by investor counsel
Board designation rights	Part 9	Size left to the bylaws	Designation right for the new series	resolved subject to documentation
Independent director selection	Part 9	Has proposed a named candidate	Mutually agreed candidate after closing	open
Drag-along trigger	Part 10	Common stock approval also required	New series able to trigger alone	open
Conditions attached to a dragged sale	Part 10	Tabled from the Series A agreement	Accepts in exchange on the trigger	agreed in principle
Pay-to-play construction	Part 13	Test applied to the series as a whole	Test applied holder by holder	open
Founder re-vesting credit for prior service	Part 15	Essential to the founders	Marked for deletion	reserved by investor counsel
Acceleration on a change of control	Part 15	Single trigger for the founders	Double trigger only	open
Non-compete undertaking	Part 15	Objects on enforceability grounds	Wants it in the award agreements	open
Expense arrangement	Part 16	Capped and payable on	Uncapped and payable	open

Item	Part affected	Company position	Investor position	Status
		completion only	regardless	
Break arrangement	Part 16	Struck in the second circulated draft	Reinstated in this draft	open
Exclusivity period	Part 17	Shortest period discussed	Left blank pending agreement	to be confirmed
Senior stacking consent from the Series A holders	Part 18	Prior waiver is sufficient	Requires a fresh class consent	open
Legal opinion scope	Part 18	Wants a narrowed scope	Wants a customary scope	open
Management rights letters	Part 19	Will provide on request	One for each participating fund	agreed in principle
Founder secondary sale at the closing	Part 14	Withdrawn by the Company	No objection to the withdrawal	withdrawn

Drafting annex A - Definitions block as presently drafted

The definitions block carried with this draft defines Capital Stock, Common Stock, Deemed Liquidation Event, Excluded Issuances, Major Investor, Original Issue Price, Qualifying Public Offering, Requisite Holders and Shadow Series. Four of those definitions are annotated as depending on an item still open elsewhere in the draft, and investor counsel has asked that none of them be treated as settled until the corresponding Part is closed.

Major Investor is defined by a share threshold that the Company has asked to raise. Because the threshold governs information rights, participation rights and the consent mechanics in more than one document, investor counsel has proposed that the definition live in the investors' rights agreement and be cross-referenced from everywhere else, so that a later amendment moves the threshold once rather than in four places.

Requisite Holders is presently defined by reference to the preferred stock as a whole, which is consistent with the Company's position in Part 8 and inconsistent with investor counsel's. The definition will have to follow whichever construction the parties settle, and the drafting note records that the two Parts must be conformed together rather than separately.

Excluded Issuances is drafted from the Company's Series A charter and is marked as agreed in principle. Investor counsel has reserved the right to expand the category covering shares issued in connection with an equipment financing, and has noted that the existing formulation may not cover a warrant issued to a lender after the closing.

Drafting annex B - Circulation history and what changed in this turn

The first circulated draft was distributed by investor counsel after the initial management sessions and carried placeholders in the pricing block. The second draft filled the pricing block, added the redemption Part, added the break arrangement, and introduced the protective provision covering the annual operating budget. The Company's mark-up of the second draft struck the break arrangement and both of the contested protective provisions.

This third draft reinstates the break arrangement and both contested protective provisions, adds the second tranche construction, adds the pay-to-play consequence, removes the founder secondary sale request at the Company's instruction, and leaves the exclusivity period blank rather than carrying the period the second draft proposed. It also moves the definitions from the body into a separate block.

Two changes in this turn are drafting rather than substance: the capitalization components have been listed in a block rather than described in a sentence, and the conditions have been consolidated into a single Part instead of appearing across three. Investor counsel has flagged both as non-substantive so that the Company's reviewers do not spend time on them.

Drafting annex C - Diligence items the purchasers have said they still need

The lead purchaser has said it cannot lift its reservation on valuation until it has completed reference calls with the two largest distribution accounts, reviewed the renewal and churn history for the service contracts, and seen the field failure rate for the current robot platform by deployment cohort. None of that material has yet been loaded to the data room.

On capitalization, the purchasers have asked for the equity award ledger with grant, exercise, cancellation and repurchase history, the certificate register, each convertible instrument with its amendments, each warrant with its

adjustment history, and the board and stockholder approvals for every reserve increase. The Company has said the ledger and the register do not presently agree and that it is reconciling them.

On legal matters the purchasers have asked for the Series A charter and stockholder agreements, the waiver the Company relies on for the senior designation, the safety certification file for the deployed platform, the open source inventory for the orchestration software, and the contractor classification analysis for the field service organisation. Several of those requests are repeated from the first circulation.

Drafting annex D - Existing holders, required consents and the reconciliation

The Company's existing preferred holders are the Series Seed holders led by Bay Meridian Capital and the Series A holders led by Tessellate Ventures. The charter requires the consent of each series for certain of the actions this financing contemplates, and the parties disagree about whether the senior designation is one of them and about whether an existing waiver reaches it.

Investor counsel has asked the Company to produce a consent map showing, for each action the financing requires, the provision that requires a consent, the class or series whose consent is required, the holders who would give it, and whether the consent has been solicited. The Company has agreed to prepare the map but has not committed to a date.

Separately, the Company has disclosed that its stock ledger on the capitalization platform does not agree with its equity award ledger for a small number of early exercises and one historical secondary transfer. The purchasers have asked for the reconciliation before signing rather than before closing, and the Company has asked that the item be handled as a covenant instead.

Drafting annex E - Convertible instruments and their assumed treatment

The Company has outstanding convertible notes and simple agreements for future equity issued in two earlier rounds and one bridge. This draft assumes that each converts at the first closing in accordance with its own terms rather than by negotiated agreement, and that no holder is asked to waive or amend its instrument as a condition of the financing.

The purchasers have asked the Company to confirm, instrument by instrument, whether the conversion is computed on a pre-money or post-money capitalization basis, whether a discount or a valuation cap applies, and whether any instrument carries a most favoured nation provision that could import a term from another instrument. The Company has said it will provide the schedule with the capitalization certificate.

One instrument is denominated in a currency other than the dollar, and the parties have not agreed the rate or the source at which it converts. Investor counsel has asked that the rate and the source be fixed in the purchase agreement rather than taken from a modelling memorandum, and the point is noted for the next turn.